

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester III Examination, 2016-17

Paper No. BCF-213: Corporate Taxation

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. “Income tax is a tax on income and not receipts.” Discuss this statement and give the essential characteristics of income. [14]

OR

Write notes on the following: [14]

- (a) Assessee
- (b) Gross Total Income vs Total Income
- (c) Previous year and its exceptions

Question 2. Give the name of any fourteen exempted incomes. [14]

OR

From the following Profit and Loss Account of Mr. Agrawal for the year ended 31st March, 2016, compute his income from business: [14]

Debit	Amount (Rs.)	Credit	Amount (Rs.)
Trade expenses	150	Gross Profit	2,35,500
Establishment charges	2,200	Dividend from domestic company	2,600
Rent, rates and taxes	1,400	Rent from property	900
Income Tax	700	Bad debts recovered (earlier disallowed)	2,000
Postage and telegram	100		
Gifts and presents	500		
Publicity	1,575		
Fire Insurance Premium	250		
Charity	375		
Donation	400		
Repairs and renewals	250		
Audit fees	250		
Net Profit (transferred to Capital A/c)	2,32,850		
Total	2,41,000	Total	2,41,000

Question 3. A, B and C are partners sharing profit and loss equally in a firm. The Profit and Loss Account for the year ended 31st March, 2016 showed a net profit of Rs. 1,80,000

after debiting Rs. 7,000 for interest paid to A @ 20%, Rs. 60,000 for salary paid to B, and Rs. 44,000 paid to C for rent of business premises. Compute the book profit of the firm. [14]

OR

What do you mean by Minimum Alternate Tax (MAT)? Explain when a company will have to pay MAT. [14]

Question 4. Explain the provisions of Tax Deducted at Source (TDS) under the head "SALARIES". Also explain the consequences if tax is not deducted at source. [14]

OR

Mr. Rai estimated to earn the following income during the financial year 2015-16:

- (a) Taxable income from House property: Rs. 75,000
- (b) Taxable income from Business: Rs. 6,45,000
- (c) Dividend from cooperative society: Rs. 16,000

Determine the amount of installments payable as advance tax during the financial year 2015-16. [14]

Question 5. Briefly describe the procedure of an appeal to the Commissioner (Appeals). [14]

OR

What are the different types of assessment? Explain any one of them. [14]